

Project Bastion

UltraTech Cement Limited / J.K. Cement Limited · prepared 2026-07-05

DECLINE

Only 0% probability of Year-2 accretion — earnings risk outweighs strategic merit at this price.

-35.3%

YEAR-1 EPS IMPACT

0%

P(ACCRETIVE BY Y2)

₹-3,425 Cr

NET VALUE CREATED

+15.0%

OFFER PREMIUM

2 · Transaction Summary

Term	Value	Term	Value
Acquirer	UltraTech Cement Limited (ULTRACEMCO.NS)	Offer price	₹6,319.82
Target	J.K. Cement Limited (JKCEMENT.NS)	Premium to undisturbed	+15.0%
Negotiated stake	64%	Consideration	100% cash / 0% stock
Equity purchase (negotiated)	₹31,253 Cr	Implied EV / EBITDA	22.8x
Open offer (at 100% acceptance)	₹12,696 Cr	Implied P / E	49.2x

Premium at the 75th percentile of sector precedents (Merger Lab precedent DB; entries marked ILLUSTRATIVE pending filing verification).

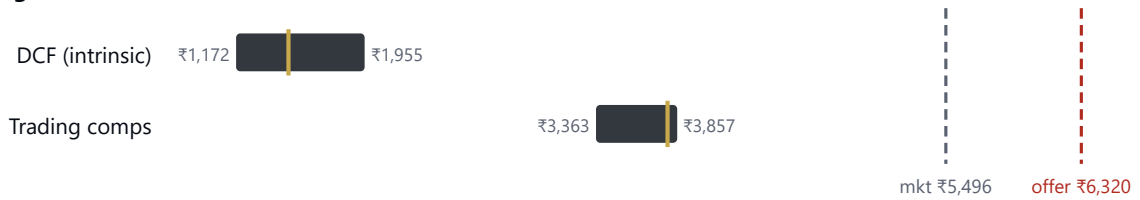
2a · Sector precedents (7 most recent; ✓ = verified against SEBI/filing sources)

Announced	Acquirer → Target	Deal (₹ Cr)	Premium	Type	Provenance
2024-10-22	Ambuja Cements → Orient Cement	₹8,100 Cr	+12.3%	cash	✓ verified
2024-06-13	Adani Group (Ambuja) → Penna Cement	₹10,422 Cr	n/a	cash	illustrative
2023-11-30	UltraTech Cement → Kesoram Industries (cement business)	₹5,379 Cr	+24.1%	stock	✓ verified
2023-08-03	Ambuja Cements → Sanghi Industries	₹5,000 Cr	n/a	cash	illustrative
2022-12-12	Dalmia Bharat → Jaiprakash Associates (cement assets)	₹5,666 Cr	n/a	cash	✓ verified
2022-05-15	Adani Group (Endeavour Trade) → Ambuja Cements	₹51,000 Cr	+7.0%	cash	✓ verified
2022-05-15	Adani Group (Endeavour Trade) → ACC	n/a	+7.0%	cash	✓ verified

Verified rows link to the SEBI letter of offer or exchange filing; premiums shown only where the open-offer price vs pre-announcement close is public. Blank premiums/multiples are honestly withheld, not estimated.

2b • Standalone Valuation — intrinsic vs the offer

Valuation range (₹/share)



Where the target trades on its own economics — independent of the deal. The offer (red) sits against a DCF intrinsic range and listed-peer trading comps; gold tick = central estimate. Accretion is relative; this is the absolute check.

Discounted cash flow (unlevered FCFF)

Two-stage FCFF DCF values J.K. Cement Limited at Rs 1,490/share (equity Rs 11,516 Cr), a range of Rs 1,172-1,955 across WACC 11-13%. 71% of value sits in the terminal year; -73% vs the Rs 5,496 market price.

Enterprise value	Equity value	Value / share	vs market	Terminal weight
₹16,669 Cr	₹11,516 Cr	₹1,490	-73%	71%

Assumptions: WACC 12.0%, revenue growth 8.0%, terminal growth 4.0%, EBITDA margin 17.2%, over 5 explicit years. Tunable drivers, not fitted.

Trading comps (listed peers)

Peer trading comps (n=4) imply Rs 3,800/share for J.K. Cement Limited (range Rs 3,363-3,857) at median EV/EBITDA 14.6x, P/E 26.2x.

	Peer	EV/EBITDA	EV/Sales	P/E
Shree Cement Limited		34.9x	11.0x	74.9x
Ambuja Cements Limited		17.3x	2.7x	23.3x
ACC Limited		9.5x	1.0x	12.2x
Dalmia Bharat Limited		11.9x	2.4x	29.1x
Median		14.6x	2.5x	26.2x

3 • Strategic Rationale

- Consolidates grey-cement capacity in North India amid the post-RBI-2026 M&A wave
- Promoter block purchase (64%) with mandatory 26% open offer — full SAST mechanics on display
- Illustrative synergies from freight/clinker network optimization

4 • Regulatory Stack — RBI • SEBI SAST • CCI

4a • Sources & Uses across open-offer acceptance scenarios

₹ Cr	0% acceptance	50% acceptance	100% acceptance
Equity purchase (negotiated)	₹31,253 Cr	₹31,253 Cr	₹31,253 Cr
Open offer consideration	₹0 Cr	₹6,348 Cr	₹12,696 Cr
Refinance target debt	₹0 Cr	₹0 Cr	₹0 Cr
Transaction fees	₹469 Cr	₹564 Cr	₹659 Cr
Total uses	₹31,721 Cr	₹38,165 Cr	₹44,608 Cr
New acquirer stock	₹0 Cr	₹0 Cr	₹0 Cr
New bank debt	₹20,619 Cr	₹24,807 Cr	₹28,995 Cr
Balance-sheet cash	₹11,102 Cr	₹13,358 Cr	₹15,613 Cr
Total sources	₹31,721 Cr	₹38,165 Cr	₹44,608 Cr

4b • RBI acquisition-finance compliance (Amendment Directions 2026, at 100% acceptance)

Check	Value	Threshold	Status	Note
Bank debt $\leq$ 75% of acquisition value	66.0	$\leq$ 75%	PASS	New bank debt Rs 28,995 Cr funds 66.0% of the Rs 43,949 Cr acquisition value.
Acquirer equity contribution $\geq$ 25%	35.0	$\geq$ 25%	PASS	Stock + own cash contribute 35.0% of total funding of Rs 44,608 Cr.
Pro-forma consolidated D/E $\leq$ 3.0x	0.82	$\leq$ 3.0x	PASS	Combined debt Rs 58,956 Cr on pro-forma equity Rs 72,039 Cr = 0.82x.
Acquirer net worth $\geq$ Rs 500 Cr	72039.0	$\geq$ Rs 500 Cr	PASS	Acquirer net worth Rs 72,039 Cr.
3-year profitability track record	True	user-attested	PASS	Attested by user; verify against 3 years of audited financials.

Optimal mix is constrained: binding constraint(s) — Acquirer cash on hand. Year-1 accretion at the constrained optimum is -20.53%. Optimal mix: 0% cash / 100% stock, 62% of cash needs debt-funded → Year-1 -20.5%.

4c • SEBI Takeover Code (SAST 2011)

Acquiring 64% crosses the 25% threshold -> mandatory open offer for 26% of the target at the floor price (modeled at the Rs 6,320 offer price; real floor is the highest-of tests incl. 60-day VWAP).

- 0% acceptance: buy 0.00 Cr shares for Rs 0 Cr; post-offer holding 64.0%.
- 50% acceptance: buy 1.00 Cr shares for Rs 6,348 Cr; post-offer holding 77.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).
- 100% acceptance: buy 2.01 Cr shares for Rs 12,696 Cr; post-offer holding 90.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).

Between 25% and 75%, up to 5% per FY may be acquired without triggering a fresh open offer (creeping acquisition route).

4d • CCI merger control

Deal value Rs 31,253 Cr exceeds the Rs 2,000 Cr deal-value threshold (2024 amendment) — CCI approval required; expect ~150-210 days outer timeline, Green Channel possible if no overlaps.

5 • Accretion / Dilution Analysis

Year	Combined NI (₹ Cr)	Pro-forma shares (Cr)	Pro-forma EPS	Standalone EPS	Accretion / (Dilution)
Year 1	₹5,286 Cr	29.42	₹179.69	₹277.58	-35.27%
Year 2	₹5,490 Cr	29.42	₹186.62	₹277.58	-32.77%
Year 3	₹5,559 Cr	29.42	₹188.97	₹277.58	-31.92%

Break-even synergies (Year 1): ₹8,067 Cr vs ₹370 Cr assumed run-rate.

Target earnings yield at offer 2.0% vs blended after-tax financing cost 5.7% -> heuristic says DILUTIVE; engine Year-1 says DILUTIVE.

Contribution analysis

Metric	Acquirer %	Target %
Revenue	86.6	13.4
EBITDA	87.8	12.2
Net income	89.2	10.8
Pro-forma ownership	100.0	0.0

Target shareholders receive 0% ownership while contributing 11% of combined earnings (-11 pts) — premium justification required.

Sensitivity — Year-1 accretion %

Premium (rows) × run-rate synergies ₹ Cr (columns)

Premium % \ Synergies Cr	0.0	92.0	185.0	278.0	370.0	462.0	555.0	648.0	740.0
5.0	-23.74	-23.32	-22.90	-22.47	-22.05	-21.62	-21.20	-20.78	-20.35
7.5	-24.50	-24.07	-23.65	-23.23	-22.80	-22.38	-21.95	-21.53	-21.11
10.0	-25.25	-24.83	-24.40	-23.98	-23.56	-23.13	-22.71	-22.29	-21.86
12.5	-26.01	-25.58	-25.16	-24.73	-24.31	-23.89	-23.46	-23.04	-22.62
15.0	-26.76	-26.34	-25.91	-25.49	-25.07	-24.64	-24.22	-23.79	-23.37
17.5	-27.51	-27.09	-26.67	-26.24	-25.82	-25.40	-24.97	-24.55	-24.12
20.0	-28.27	-27.85	-27.42	-27.00	-26.57	-26.15	-25.73	-25.30	-24.88
22.5	-29.02	-28.60	-28.18	-27.75	-27.33	-26.90	-26.48	-26.06	-25.63
25.0	-29.78	-29.35	-28.93	-28.51	-28.08	-27.66	-27.23	-26.81	-26.39

% cash consideration (rows) × premium (columns)

% Cash \ Premium %	5.0	7.5	10.0	12.5	15.0	17.5	20.0	22.5	25.0
0	-9.59	-10.01	-10.43	-10.85	-11.27	-11.68	-12.10	-12.51	-12.92
10	-10.75	-11.20	-11.65	-12.10	-12.54	-12.99	-13.43	-13.87	-14.32
20	-11.93	-12.41	-12.89	-13.36	-13.84	-14.32	-14.79	-15.26	-15.73
30	-13.12	-13.63	-14.14	-14.65	-15.16	-15.67	-16.17	-16.67	-17.18
40	-14.34	-14.88	-15.42	-15.96	-16.50	-17.04	-17.58	-18.11	-18.65
50	-15.57	-16.15	-16.72	-17.30	-17.87	-18.44	-19.01	-19.58	-20.15
60	-16.83	-17.43	-18.04	-18.65	-19.26	-19.86	-20.47	-21.07	-21.67
70	-18.10	-18.74	-19.39	-20.03	-20.67	-21.31	-21.95	-22.59	-23.23

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90	-20.71	-21.43	-22.14	-22.86	-23.57	-24.29	-25.00	-25.72	-26.43
100	-22.05	-22.80	-23.56	-24.31	-25.07	-25.82	-26.57	-27.33	-28.08

5.5 · Value Creation Assessment

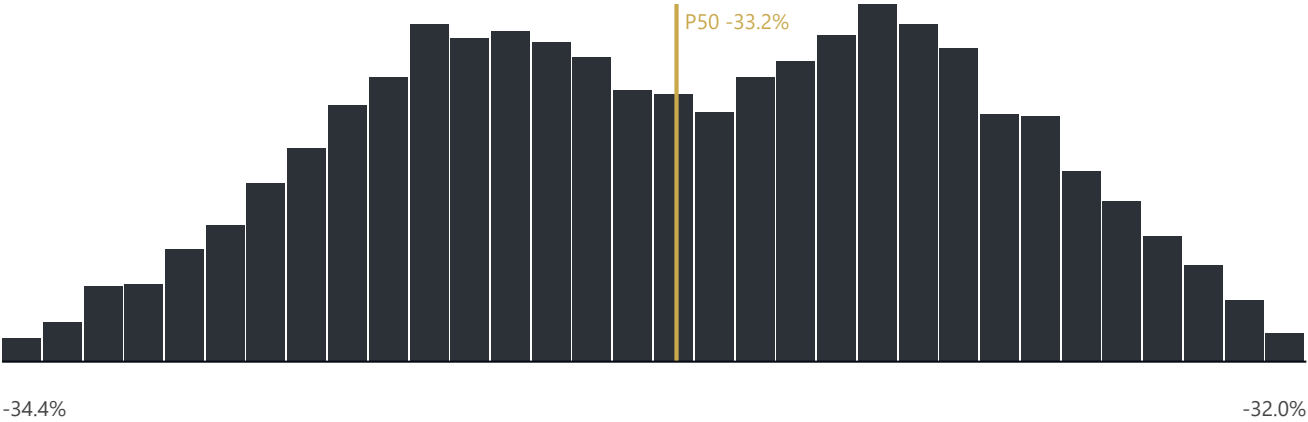
Bridge component	₹ Cr
PV of after-tax synergies (perpetuity at 12.0% WACC)	₹2,307 Cr
Control premium paid	(₹5,732 Cr)
Net value created / (destroyed)	₹-3,425 Cr

Incremental ROIC 2.6% vs WACC 12.0% — **returns below the cost of capital.**

6 · Risk Analysis

Probability of accretion by Year 2: 0% (P5: -34.0%, P95: -32.3%). Year-1: P5 -37.4% · P50 -35.6% · P95 -34.7%.

Year-2 accretion distribution (10,000 iterations)



Key risks

- CCI review of regional market-share concentration
- MPS breach at high open-offer acceptance forces sell-down or delisting attempt
- Cement cycle timing risk on acquired capacity

7 • Appendix — Methodology & Sources

- Engine: Year 1–3 pro-forma EPS vs standalone acquirer EPS held flat; combined NI = acquirer NI + owned% × target NI + after-tax phased synergies – after-tax new interest – after-tax foregone cash yield – after-tax incremental D&A – after-tax Year-1 integration costs.
- PPA: intangible write-up on excess over owned book value, DTL at deal tax rate, straight-line amortization; PP&E step-up out of scope.
- RBI: Commercial Banks – Credit Facilities (Amendment) Directions 2026 — 75% funding cap, 25% equity floor, 3:1 consolidated D/E, ₹500 Cr net worth, 3-yr profitability (user-attested). Verify against the master direction.
- SEBI SAST 2011: 25% open-offer trigger, minimum 26% offer size; floor modeled at deal offer price (real floor = highest-of tests incl. 60-day VWAP). MPS per SCRR 19A.
- Monte Carlo: 10,000 seeded iterations; synergies triangular (50/100/130% of base), integration costs lognormal, phase-in delay discrete.
- Value bridge: after-tax synergy perpetuity at user WACC (0% growth) less control premium on shares acquired.
- Data: yfinance (prices, financials), Screener.in exports (fundamentals fallback), curated precedent DB from SEBI SAST letters of offer and NSE/BSE filings. Debt cost anchored to RBI DBIE lending-rate publications; risk-free = 10Y G-Sec (CCIL/FIMMDA). No paid APIs, no scraping, no LLM calls.
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